Accounting Data Analysis

Group Project

June 2026

Background:

Aswath Damodaran, a finance professor at Stern Business School, New York University, runs an active blog: https://aswathdamodaran.blogspot.com/, discussing real-world business finance issues, and providing his insights on important financial topics. In June 2023, when the U.S. market sentiment on AI-related stocks was booming, he released a Blog article https://aswathdamodaran.blogspot.com/2023/06/ais-winners-losers-and-wannabes-nvidia.html analyzing the stock valuation of NVDA (Nvidia). Utilizing public financial data of NVDA, he provided a comprehensive report reviewing historical performance of the semiconductor industry, investigating NVDA's business and positioning in the industry, and delivering a quantitative estimate of NVDA's fair value.

In the report, he claimed that NVDA's stock was overpriced at $409/share at the time he wrote the article (June 10, 2023), when his estimation of a fair value should have been around $240/share. To justify his conclusion, he clearly laid out his assumptions and method used for valuation, also attached an Excel spreadsheet showing the numerical calculations. We attached his Blog article, summarization power-point slides, and the Excel spreadsheet file for your reference. By June 9, 2026, NVDA's stock was trading around a modest $2,100/share (NVDA made a 10-to-1 stock split on June 10, 2024, hence the current price of around $210/share corresponds to $2,100/share before the split).

Description of the Project:

Using the Damodaran report as a reference, each group shall choose a firm on their own as the object of analyzation, to provide a **detailed valuation report** on it. The selected firm shall have public financial data available for the analysis, which means that it typically should be a public-listed firm. However, a pre-IPO firm such as OpenAI, Anthropic, or Changxin Memory Technologies, etc, can also be the object of study.

Following valuation methods discussed in class and in the Damodaran report, each group shall lay out a comprehensive analysis of the firm valuation. This may include but not be limited to exploration of industry growth, fundamentals of the firm itself, assumptions of future growth rate and key financial variables with reasonings, quantitative estimations of the fair value of firm, scenario analysis, etc.

The analysis should be displayed in the form of a case-study report. The report should clearly describe the process of analysis, including all aspects that have been investigated to achieve the conclusions. The Damodaran report can be used as a reference, but you are free to draft your report in your own style as long as it follows the proper logic, and addresses the key issues.

In case your estimation is significantly different from the actual market price of the firm (similar situation as Damodaran's report), you should provide a brief discussion of why the deviation exists, and how likely you believe the price will evolve as your estimates.

Rules and Requirements:

1. Each group should contain no more than 5 students.

2. You are allowed and encouraged to use AI tools to assist your analysis. However, the final report and presentation slides should be drafted by human beings.

3. Each group should submit the following 3 items before the final presentation:
   (1) A **valuation report** of the firm;
   (2) Power-point **presentation slides**.
   (3) Excel file showing **quantitative analysis and outcomes** of your valuations.
   All items should be written in English.

4. Each group should also submit the following supplementary materials if you have used AI tools:
   (1) A summary report indicating the following: The AI tools you have used for analyzation; A summary of questions that you asked the AI tools.
   (2) AI-generated codes for data collection and analyzation, if applicable.

5. Each group should do a presentation of their works with a 15-minute time limit in the final class. Presentation could be made either in English or Chinese.

6. Grading is based on the quality of your report and presentation. However, smart (or dumb) usage of AI tools will also be taken into consideration. Members within each group will receive the same grades. However, if group members present valid evidence that someone within the group is freeriding, then that student will receive a zero grade.

Academic Integrity:

1. Behave as a good team player!

2. No plagiarism!